
ESSO PETROLEUM COMPANY, LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2011

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ASSISTANT SECRETARY

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ESSO PETROLEUM COMPANY, LIMITED

COMPANY INFORMATION

DIRECTORS

J Blowers
B W Corson
K J Dickens
J Selzer

COMPANY SECRETARY

A Clarke

COMPANY NUMBER

26538

REGISTERED OFFICE

ExxonMobil House
Ermyrn Way
Leatherhead
Surrey
KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP
1 Embankment Place
London
WC2N 6RH

ESSO PETROLEUM COMPANY, LIMITED

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ESSO PETROLEUM COMPANY, LIMITED

DIRECTORS' REPORT FOR THE YEAR ENDED 31 DECEMBER 2011

The directors present their report and the financial statements for the year ended 31 December 2011

DIRECTORS' RESPONSIBILITIES STATEMENT

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

PRINCIPAL ACTIVITIES

The principal activities of Esso Petroleum Company, Limited (the "Company") are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company are listed in note 12 to the accounts.

Review of Company Business

During 2011 sales and cost of sales increased as a result of higher prices, 2011 profits are lower than 2010 due to the higher cost of sales increase.

The Company has net assets of £1,133M (2010 - £1,473M).

Principal risks and uncertainties

The Company's principal risks and uncertainties comprise health and safety, environment and financial risks. The Company's policies relating to Financial Risk Management, Health and Safety and Environment are set out in the paragraphs below.

Key performance indicators

The business of Esso Petroleum Company, Limited is managed on a divisional basis and performance is measured in areas such as safety, the environment, operations and finance. Performance indicators are regularly shared with divisional management, including representatives of the ultimate parent company, Exxon Mobil Corporation.

ESSO PETROLEUM COMPANY, LIMITED

DIRECTORS' REPORT FOR THE YEAR ENDED 31 DECEMBER 2011

RESULTS AND DIVIDENDS

The profit for the year, after taxation, amounted to £22M (2010 - £196M)

Dividends of £155m were declared and paid during the year (2010 - £NIL)

CHARITABLE CONTRIBUTIONS

During 2011, the Company made charitable donations in support of the community of £817k (2010 - £585k)
There were no political donations (2010 - £NIL)

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom

EVENTS SINCE THE END OF THE YEAR

On 1 July 2012, the company sold its entire shareholding in Comma Oil & Chemicals Limited for £60m to Cosan Lubes Investments Limited

DIRECTORS

The directors who served during the year were

J Blowers
B W Corson
K J Dickens
J Selzer

FINANCIAL RISK MANAGEMENT

The Company is exposed to financial risks from a variety of factors that include price, credit, liquidity, interest rates and foreign exchange

Price risk - The Company is exposed to fluctuations in oil, petrochemical and gas prices as a result of its operations. The Company does not use derivative financial instruments to manage the risk of fluctuating prices, so no hedge accounting is applied. The Company will revisit the appropriateness of this policy should operations change in nature.

Credit risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made. The Company also has systems and processes to ensure the ongoing monitoring of customer credit worthiness and has in place procedures to enable it to respond where change in customer credit risk is detected.

Liquidity risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations. It is the directors' understanding that the ExxonMobil group companies will continue to provide suitable resources to the Company to meet its needs. The Company has a process in place to monitor the best financing structure and periodically reviews its strategies. Following such review, loans may be repaid prior to their maturity date or extended or replaced by alternative funding arrangements.

ESSO PETROLEUM COMPANY, LIMITED

DIRECTORS' REPORT FOR THE YEAR ENDED 31 DECEMBER 2011

Interest rate risk - The Company can have both interest bearing assets and liabilities, these are generally held at floating rates. The Company monitors its portfolio of interest bearing assets and liabilities and their financial impact. The Company will reconsider the appropriate structure of its portfolio should operations change in size or nature.

Foreign exchange risk - The Company may have assets and liabilities denominated in foreign currencies, predominantly the US Dollar and the Euro. No derivative financial instruments are used to manage the risk of fluctuating exchange rates, so no hedge accounting is applied. The Company has in place a foreign exchange policy and will reconsider the appropriateness of this policy should operations change in nature.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of its employees, others involved in its operations, customers and the public. The Company strives to prevent all accidents, injuries and occupational illnesses through its Operations Integrity Management System. This is embedded into everyday work processes at all levels of the organisation and addresses all aspects of managing safety and health, as well as security, environmental and social risks at our facilities. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate parent company, Exxon Mobil Corporation. Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizenship Report that gives a full account of its positions, actions and performance.

Copies of this publication can be obtained by writing to Exxon Mobil Corporation, Attn Public & Government Affairs, CCR Requests, 5959 Las Colinas Boulevard, Irving, Texas 75039-2298, USA. Alternatively, it can be viewed on www.exxonmobil.com.

RESEARCH AND DEVELOPMENT ACTIVITIES

The Company is able to call on the extensive research and development resources of its ultimate parent company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support, covering crude oils, industrial fuels and lubricants, bitumen and greases. Research and guidance on environmental matters is also provided by other members of the ExxonMobil group.

EMPLOYEES

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion, exist for disabled persons and employees who have become disabled while employed by the Company having regard to their particular circumstances.

ESSO PETROLEUM COMPANY, LIMITED

**DIRECTORS' REPORT
FOR THE YEAR ENDED 31 DECEMBER 2011**

The Company has established over many years a comprehensive programme of employee communication and consultation to systematically provide employees with information on matters of concern to them or their representatives, so that their views can be taken into account when making decisions that are likely to affect their interests. The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

PROVISION OF INFORMATION TO AUDITORS

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that

- so far as that director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- that director has taken all the steps that ought to have been taken as a director in order to be aware of any information needed by the Company's auditors in connection with preparing their report and to establish that the Company's auditors are aware of that information.

This report was approved by the board on 16 July 2012 and signed on its behalf


J Selzer
Director

ESSO PETROLEUM COMPANY, LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements of Esso Petroleum Company, Limited (the "Company") for the year ended 31 December 2011, which comprise the Profit and Loss Account, the Statement of Total Recognised Gains and Losses, the Note of Historical Cost Profits and Losses, the Balance Sheet and the related notes. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

This report, including the opinions, has been prepared for and only for the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

SCOPE OF THE AUDIT OF THE FINANCIAL STATEMENTS

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Directors' Report to identify material inconsistencies with the audited financial statements. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

OPINION ON FINANCIAL STATEMENTS

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 31 December 2011 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

OPINION ON OTHER MATTER PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

ESSO PETROLEUM COMPANY, LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit



Jonathan Lambert (Senior Statutory Auditor)

for and on behalf of

PricewaterhouseCoopers LLP

Chartered Accountants and Statutory Auditors

London

16 July 2012

ESSO PETROLEUM COMPANY, LIMITED

**PROFIT AND LOSS ACCOUNT
FOR THE YEAR ENDED 31 DECEMBER 2011**

	Note	2011 £M	2010 £M
TURNOVER	1,2	11,310	8,697
Cost of sales		<u>(10,977)</u>	<u>(8,110)</u>
GROSS PROFIT		333	587
Distribution costs		(263)	(299)
Administrative expenses		<u>(9)</u>	<u>(22)</u>
OPERATING PROFIT	3	61	266
EXCEPTIONAL ITEMS			
Net profit on sale of tangible fixed assets		<u>8</u>	<u>3</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE INTEREST		69	269
Income from fixed asset investments		2	10
Interest receivable and similar income	7	4	5
Interest payable and similar charges	8	(3)	(7)
Other finance income/(charges)		<u>5</u>	<u>(6)</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		77	271
Tax on profit on ordinary activities	9	<u>(55)</u>	<u>(75)</u>
PROFIT FOR THE FINANCIAL YEAR		<u>22</u>	<u>196</u>

All amounts relate to continuing operations

The notes on pages 11 to 30 form part of these financial statements

ESSO PETROLEUM COMPANY, LIMITED

**STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
FOR THE YEAR ENDED 31 DECEMBER 2011**

	Note	2011 £M	2010 £M
PROFIT FOR THE FINANCIAL YEAR		22	196
Unrealised surplus/(deficit) on revaluation of tangible fixed assets		-	(2)
Actuarial (loss)/gain related to pension scheme	25	(282)	158
Deferred tax attributable to actuarial (loss)/gain	25	75	(44)
TOTAL RECOGNISED GAINS AND LOSSES RELATING TO THE YEAR		(185)	308

**NOTE OF HISTORICAL COST PROFITS AND LOSSES
FOR THE YEAR ENDED 31 DECEMBER 2011**

	2011 £M	2010 £M
REPORTED PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	77	271
Realisation of valuation gains of previous periods	6	3
HISTORICAL COST PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	83	274
HISTORICAL PROFIT FOR THE YEAR AFTER TAXATION	28	199

The notes on pages 11 to 30 form part of these financial statements

ESSO PETROLEUM COMPANY, LIMITED
REGISTERED NUMBER: 26538

BALANCE SHEET
AS AT 31 DECEMBER 2011

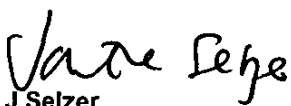
	Note	£M	2011 £M	£M	2010 £M
FIXED ASSETS					
Intangible assets	10		1		3
Tangible assets	11		1,435		1,432
Investments	12		10		10
			<u>1,446</u>		<u>1,445</u>
CURRENT ASSETS					
Stocks	13	765		709	
Debtors	14	1,055		1,042	
Cash at bank		-		1	
		<u>1,820</u>		<u>1,752</u>	
CREDITORS: amounts falling due within one year	15,17	(1,311)		(1,014)	
NET CURRENT ASSETS			509		738
TOTAL ASSETS LESS CURRENT LIABILITIES			1,955		2,183
CREDITORS: amounts falling due after more than one year	16		(317)		(317)
PROVISIONS FOR LIABILITIES					
Deferred tax	18	(68)		(53)	
Other provisions	19	(8)		(4)	
			<u>(76)</u>		<u>(57)</u>
NET ASSETS EXCLUDING PENSION SCHEME ASSETS/(LIABILITIES)			1,562		1,809
Defined benefit pension scheme liability	25		(429)		(336)
NET ASSETS INCLUDING PENSION SCHEME ASSETS/(LIABILITIES)			1,133		1,473

ESSO PETROLEUM COMPANY, LIMITED

BALANCE SHEET (continued)
AS AT 31 DECEMBER 2011

	Note	£M	2011 £M	£M	2010 £M
CAPITAL AND RESERVES					
Called up share capital	20		573		573
Revaluation reserve	21		413		419
Capital reserves	21		3		3
Profit and loss account	21		144		478
SHAREHOLDERS' FUNDS	22		<u>1,133</u>		<u>1,473</u>

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 16 July 2012



J Selzer
Director

The notes on pages 11 to 30 form part of these financial statements

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2011

1. ACCOUNTING POLICIES

1.1 Basis of preparation of financial statements

These financial statements are prepared on the going concern basis, under historical cost convention, and in accordance with the Companies Act 2006 and applicable accounting standards in the United Kingdom

The Company is itself a subsidiary company and is exempt from the requirement to prepare group accounts by virtue of section 400 of the Companies Act 2006. These financial statements therefore present information about the Company as an individual undertaking and not about its group.

1.2 Cash flow

The Company, being a subsidiary undertaking where 90% or more of the voting rights are controlled within the group whose consolidated financial statements are publicly available, is exempt from the requirement to draw up a cash flow statement in accordance with FRS 1.

1.3 Turnover

Turnover associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services is recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms. Turnover from sales made by refining operations is typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms. Turnover is shown net of excise duties and Value Added Taxation (VAT).

1.4 Intangible fixed assets and amortisation

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised.

Purchased CO₂ emission rights are not amortised during the year as they are surrendered the following year after completion of an independent audit of the actual emissions.

1.5 Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost or valuation less depreciation. Depreciation is provided at rates calculated to write off the cost or valuation of fixed assets, less their estimated residual value, over their expected useful lives on the following bases:

Buildings	-	3.3% to 4% per annum
Plant & equipment	-	3.3% to 20% per annum
Leasehold land	-	0.5% to 6.66% per annum
Assets under construction	-	Not depreciated until brought into use
Freehold land	-	Not depreciated

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011**

1. ACCOUNTING POLICIES (continued)

1.6 Revaluation of tangible fixed assets

Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15, 'Tangible fixed assets'. An annual review is undertaken where there is evidence of a significant change in the revaluation. A full valuation was undertaken as at 31 December 2009 by CB Richard Ellis Limited.

1.7 Investments

Investments held as fixed assets are shown at cost less provision for impairment.

1.8 Operating leases

Rentals under operating leases are charged to the Profit and Loss Account on a straight line basis over the lease term.

1.9 Stocks and work in progress

Stocks and work in progress are valued at the lower of cost and net realisable value after making due allowance for obsolete and slow-moving stocks. Cost is calculated using the first-in, first-out method, including an appropriate proportion of overheads.

1.10 Deferred taxation

Provision for deferred tax is made in accordance with FRS 19, 'Deferred Tax'. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes.

Deferred tax assets and liabilities are not discounted.

1.11 Foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates of exchange ruling at the balance sheet date.

Transactions in foreign currencies are translated into sterling at the rate ruling on the date of the transaction.

Exchange gains and losses are recognised in the Profit and Loss Account.

1.12 Research and development

Research and development expenditure is written off in the year in which it is incurred.

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2011

1. ACCOUNTING POLICIES (continued)

1.13 Pensions

The Company is a participating employer in a funded defined benefit pension scheme in the UK, the assets of which are held in a separate trustee administered fund

Pension scheme assets are measured using market value. Pension scheme liabilities are measured using the projected unit actuarial method and are discounted at the current rate of return on a high quality corporate bond of equivalent terms and currency to the liability. The increase in the present value of the liabilities of the Company's defined benefit pension scheme expected to arise from employee service in the period is charged to operating profit. The expected return on the scheme's assets and the increase during the year in the present value of the scheme's liabilities arising from the passage of time are included in other finance income. Actuarial gains and losses are recognised in the Statement of Total Recognised Gains and Losses.

Pension scheme surpluses (to the extent that they are considered recoverable), or deficits in full, are recognised and presented on the face of the Balance Sheet net of the related deferred tax.

The Company is a participating employer in the Merchant Navy Officers Pension Fund and the Merchant Navy Ratings Pension Fund, both industry defined benefit schemes. The Company is unable to identify its share of the underlying assets and liabilities of these schemes on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the schemes as defined contribution schemes. The pension cost charges represent contributions paid by the Company to the funds, net of any amounts recoverable from other group companies.

1.14 Cash

As part of ExxonMobil's Treasury operations, the Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the balance sheet date is fully liquid with the Company retaining full ability to access the cash at any time. Interest is charged/credited on balances, including any overdraft positions, on commercially competitive terms.

2. TURNOVER

A geographical analysis of turnover is as follows

	2011 £M	2010 £M
United Kingdom	7,443	5,701
Rest of European Union	1,224	976
Rest of world	2,643	2,020
	<u>11,310</u>	<u>8,697</u>

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011**

3. OPERATING PROFIT

The operating profit is stated after charging

	2011	2010
	£M	£M
Amortisation - intangible fixed assets	1	-
Depreciation of tangible fixed assets		
- owned by the company	76	76
Operating lease rentals		
- land and buildings	12	14
Research and development expenditure written off	4	3
	<u> </u>	<u> </u>

4. AUDITORS' REMUNERATION

	2011	2010
	£000	£000
Fees payable to the Company's auditor for the audit of the Company's annual financial statements	114	135
Fees payable to the Company's auditor and its associates in respect of		
Other services supplied pursuant to such legislation	55	55
All other services	6	-
	<u> </u>	<u> </u>

5. STAFF COSTS

Staff costs, including directors' remuneration, were as follows

	2011	2010
	£M	£M
Wages and salaries	121	118
Social security costs	12	12
Pension costs (Note 25)	38	54
	<u> </u>	<u> </u>
	<u>171</u>	<u>184</u>

The average number of employees, including the directors, during the year was as follows

	2011	2010
	No.	No
Marketing, Refining and Transportation	<u>1,542</u>	<u>1,560</u>

The above numbers exclude the following employees (including directors) seconded to other ExxonMobil affiliates. The Company does not bear the cost of these employees

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011**

	2011 No.	2010 No
Marketing, Refining and Transportation	156	184
Exploration and Production	686	760
Total	<u>842</u>	<u>944</u>

6. DIRECTORS' REMUNERATION

	2011 £M	2010 £M
Emoluments	<u>-</u>	<u>1</u>

During the year retirement benefits were accruing to 1 director (2010 - 2) in respect of defined contribution pension schemes

During the year retirement benefits were accruing to 4 directors (2010 - 5) in respect of defined benefit pension schemes

The highest paid director received remuneration of £0M (2010 - £0M)

2 Directors (2010 - 2), including the highest paid Director, exercised share options in the year and 2 Directors (2010 - 2), not including the highest paid Director, became entitled to receive shares under long term incentive schemes

The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director, and rounded to the nearest £1M

7. INTEREST RECEIVABLE AND SIMILAR INCOME

	2011 £M	2010 £M
Interest receivable from group undertakings	4	4
Other interest receivable	-	1
	<u>4</u>	<u>5</u>

8. INTEREST PAYABLE AND SIMILAR CHARGES

	2011 £M	2010 £M
On loans from group undertakings	<u>3</u>	<u>7</u>

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011**

9. TAXATION

	2011 £M	2010 £M
Analysis of tax (credit)/charge in the year		
Current tax (see note below)		
UK corporation tax (credit)/charge on profit for the year	(10)	23
Adjustments in respect of prior periods	(7)	(3)
Total current tax	<u>(17)</u>	<u>20</u>
Deferred tax		
Origination and reversal of timing differences (see note 18)	15	(8)
Pension contribution relief in excess of pension cost charge	56	63
Other	1	-
Total deferred tax	<u>72</u>	<u>55</u>
Tax on profit on ordinary activities	<u><u>55</u></u>	<u><u>75</u></u>

Factors affecting tax charge for the year

The tax assessed for the year is lower than (2010 - *lower than*) the standard rate of corporation tax in the UK of 26.5% (2010 - 28%). The differences are explained below

	2011 £M	2010 £M
Profit on ordinary activities before tax	<u>77</u>	<u>271</u>
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 26.5% (2010 - 28%)	20	76
Effects of:		
Expenses not deductible for tax purposes, other than goodwill amortisation and impairment	19	5
Depreciation for year in excess of capital allowances	7	7
Pension contribution relief in excess of net pension cost charge	(56)	(63)
Group relief	-	(2)
Adjustments to tax charge in respect of prior periods	(7)	(3)
Current tax (credit)/charge for the year (see note above)	<u><u>(17)</u></u>	<u><u>20</u></u>

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011

9. TAXATION (continued)

No provision has been made for deferred taxation on gains arising from revaluing retail properties to their market value. Deferred taxation liabilities and assets are not discounted.

Legislation was enacted in July 2011 to reduce the UK statutory corporation tax rate to 26% from 1 April 2011 and 25% from 1 April 2012.

The Finance bill 2012 includes provisions to further reduce the UK statutory corporation tax rate 24% effective 1 April 2012, and 23% effective 1 April 2013. The proposed reductions of the main rate of corporation tax to 22% by 1 April 2014 is expected to be included in a future finance bill. None of these expected rate reductions had been substantively enacted at the balance sheet date and, therefore, are not included in these financial statements.

10. INTANGIBLE FIXED ASSETS

	Emissions Rights £M	Goodwill £M	Total £M
Cost			
At 1 January 2011	1	7	8
Disposals	(1)	-	(1)
At 31 December 2011	-	7	7
Amortisation			
At 1 January 2011	-	5	5
Charge for the year	-	1	1
At 31 December 2011	-	6	6
Net book value			
At 31 December 2011	-	1	1
At 31 December 2010	1	2	3

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011

11 TANGIBLE FIXED ASSETS

	Retail Sites £M	Other Land and Buildings £M	Plant & machinery £M	Assets Under Construction £M	Total £M
Cost or valuation					
At 1 January 2011	775	116	1,715	93	2,699
Additions	-	-	1	91	92
Disposals	(12)	(1)	(25)	-	(38)
Transfer between classes	-	1	77	(78)	-
At 31 December 2011	763	116	1,768	106	2,753
Depreciation					
At 1 January 2011	122	39	1,106	-	1,267
Charge for the year	9	2	65	-	76
On disposals	(4)	-	(21)	-	(25)
At 31 December 2011	127	41	1,150	-	1,318
Net book value					
At 31 December 2011	636	75	618	106	1,435
At 31 December 2010	653	77	609	93	1,432

The net book value of Retail Sites and Other Land & Buildings comprises

	2011 £M	2010 £M
Freehold	690	707
Long leasehold	10	10
Short leasehold	11	13
Total	711	730

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Included within Retail Sites are sites with a net book value of £43M (2010 - £41M) which are being held for resale

As at 31 December 2009 certain assets with an historical cost of £321M were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £821M, resulting in an decrease in the revalued amount of £21M. These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities. During the year 26 sites (2010 - 12 sites) which had previously been revalued were sold resulting in £6M (2010 - £3M) being transferred from the revaluation reserve.

If the land and buildings had not been included at valuation they would have been included under the historical cost convention as follows

	2011 £M	2010 £M
Cost	466	472
Accumulated depreciation	(168)	(161)
Net book value	298	311

12. INVESTMENTS

	Investments in subsidiary companies £M
Cost or valuation	
At 1 January 2011 and 31 December 2011	10
Net book value	
At 31 December 2011	10
At 31 December 2010	10

Subsidiary undertakings

The following were subsidiary undertakings of the company:

Name	Class of shares	Holding
Comma Oil & Chemicals Limited	Ordinary	100 %
ExxonMobil Pension Trust Limited	Ordinary	100 %
Redline Oil Services Limited	Ordinary	100 %
Retail Petroleum Services Limited	Ordinary	100 %
ROC UK Limited	Ordinary	100 %

ESSO PETROLEUM COMPANY, LIMITED

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12. INVESTMENTS (continued)

Other investments

Name	Class of shares	Holding
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%
Heathrow Hydrant Company Limited	Ordinary	20%
Heathrow Hydrant Operating Company Limited	Ordinary	20%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
Stansted Fuelling Company Limited	Ordinary	29%

All the companies operate in the United Kingdom, are registered in England and Wales, and have principal activities related to the oil and gas business

13. STOCKS

	2011 £M	2010 £M
Raw materials	215	180
Work in progress	107	114
Finished goods and goods for resale	443	415
	<u>765</u>	<u>709</u>

The replacement cost of all categories of stocks held by the Company at 31 December 2011 was £781M (2010 - £730M)

14. DEBTORS

	2011 £M	2010 £M
Due after more than one year		
Other debtors	6	5
Prepayments and accrued income	10	19
Due within one year		
Trade debtors	450	354
Amounts owed by group undertakings	523	610
Tax Recoverable	25	-
Other debtors	20	25
Prepayments and accrued income	21	29
	<u>1,055</u>	<u>1,042</u>

'Amounts owed by group undertakings' and falling due within one year include loans at the following interest rates

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011

14. DEBTORS (continued)

	2011 £M	2010 £M
Interest at a rate of 3 month LIBOR + 0.7% (2010 - 3 month LIBOR + 0.6%)	200	200

All other balances are unsecured, interest free and have no fixed repayment date

15. CREDITORS:
Amounts falling due within one year

	2011 £M	2010 £M
Bank loans and overdrafts	5	11
Trade creditors	71	54
Amounts owed to group undertakings	565	450
Corporation tax	-	13
Social security and other taxes	535	348
Other creditors	4	10
Accruals and deferred income	131	128
	1,311	1,014

The Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount of £183M as at 31 December 2011 is included in 'Amounts owed to group undertakings' (2010 - £114M 'Amounts owed by group undertakings'). Aside from this and the loans detailed in note 17, all other amounts are unsecured, interest free and have no fixed repayment date.

16. CREDITORS:
Amounts falling due after more than one year

	2011 £M	2010 £M
Amounts owed to group undertakings	300	300
Accruals and deferred income	17	17
	317	317

Aside from loans detailed in note 17 all other amounts are unsecured, interest free and have no fixed repayment date

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17. LOANS

	2011 £M	2010 £M
Amounts owed to ExxonMobil undertakings		
Repayable within 1 year	-	-
Repayable after 1 year	300	300
Total	300	300

Amounts repayable after one year include loans at the following interest rates

	2011 £M	2010 £M
Interest at a rate of 3 month LIBOR + 0.0625% (2010 - 3 month LIBOR + 0.0625%)	300	300

The loan of £300M is long term in nature. However, the most appropriate financing structure for the Company is continually being re-evaluated and loans may be repaid prior to their maturity date and/or replaced by alternative financing.

18. DEFERRED TAXATION

	2011 £M	2010 £M
At beginning of year	53	61
Charge for/(released during) year	15	(8)
At end of year	68	53

The provision for deferred taxation is made up as follows

	2011 £M	2010 £M
Accelerated capital allowances	69	78
Pension surplus	(1)	(1)
Undiscounted provision for deferred tax	68	77
Discount	-	(24)
Discounted provision for deferred tax	68	53

ESSO PETROLEUM COMPANY, LIMITED

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18. DEFERRED TAXATION (continued)

For the year ended 31 December 2010, Deferred tax assets and liabilities were discounted. From January 2011, deferred tax assets and liabilities are no longer discounted. The impact of this change in the accounting policy has not been assessed as material to the financial statements.

No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

19. PROVISIONS

	Provisions £M
At 1 January 2011	4
Additions	4
At 31 December 2011	<u>8</u>

Provisions

Provisions relate to distribution terminal remediation and a number of claims relating to the Company's retail operations.

20. SHARE CAPITAL

	2011 £M	2010 £M
Authorised		
229,000,000 ordinary shares of £1 each	229	229
500,000,000 redeemable ordinary shares of £1 each	500	500
	<u>729</u>	<u>729</u>
Allotted, called up and fully paid		
228,385,200 ordinary shares of £1 each	228	228
345,000,000 redeemable ordinary shares of £1 each	345	345
	<u>573</u>	<u>573</u>

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
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21. RESERVES

	Revaluation reserve £M	Capital reserves £M	Profit and loss account £M
At 1 January 2011	419	3	478
Profit for the year			22
Dividends Equity capital			(155)
Pension reserve movement			(207)
Transfer between Revaluation reserve and Profit and loss account	(6)		6
At 31 December 2011	<u>413</u>	<u>3</u>	<u>144</u>

22. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	2011 £M	2010 £M
Opening shareholders' funds	1,473	1,165
Profit for the year	22	196
Dividends (Note 23)	(155)	-
Other recognised gains and losses during the year	(207)	112
Closing shareholders' funds	<u>1,133</u>	<u>1,473</u>

23. DIVIDENDS

	2011 £M	2010 £M
Dividends paid on equity capital	<u>155</u>	<u>-</u>

24. CAPITAL COMMITMENTS

At 31 December 2011 the Company had capital commitments as follows

	2011 £M	2010 £M
Contracted for but not provided in these financial statements	<u>26</u>	<u>14</u>

ESSO PETROLEUM COMPANY, LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2011**

25. PENSION COMMITMENTS

The Company is the major employer of a funded defined benefit pension scheme in the UK. The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2011 on scheme assets and liabilities as at 31 December 2010. This has been updated to 31 December 2011 using the assumptions described below. The next full actuarial valuation is due as at 31 December 2013.

The amounts recognised in the Balance Sheet are as follows

	2011 £M	2010 £M
Present value of funded obligations	(3,593)	(3,311)
Fair value of scheme assets	3,021	2,851
Deficit in scheme	(572)	(460)
Related deferred tax asset	143	124
Net liability	(429)	(336)

The amounts recognised in profit or loss are as follows

	2011 £M	2010 £M
Current service cost	(49)	(51)
Interest on obligation	(178)	(179)
Expected return on scheme assets	183	173
Gains/(losses) on curtailments and settlements	11	(3)
Total	(33)	(60)

Of the total operating charge, £34M (2010 - £25M) is included within cost sales, £9M (2010 - £15M) is included in distribution costs and £6M (2010 - £7M) is included in administrative expenses.

Changes in the present value of the defined benefit obligation are as follows

	2011 £M	2010 £M
Opening defined benefit obligation	3,311	3,203
Current service cost	49	51
Interest cost	178	179
Contributions by scheme participants	9	9
Actuarial losses / (gains)	207	(7)
(Gains) / losses on curtailments	(11)	1
Bulk transfer in	-	10
Benefits paid	(150)	(135)
Closing defined benefit obligation	3,593	3,311

ESSO PETROLEUM COMPANY, LIMITED

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25. PENSION COMMITMENTS (continued)

Changes in the fair value of scheme assets are as follows

	2011 £M	2010 £M
Opening fair value of scheme assets	2,851	2,488
Expected return	183	173
Actuarial (losses) and gains	(75)	151
Contributions by employer	203	157
Contributions by scheme participants	9	9
Bulk transfer in	-	8
Benefits paid	(150)	(135)
	<u>3,021</u>	<u>2,851</u>

Scheme assets do not include any of Esso Petroleum Company, Limited's own financial instruments, or any property occupied by Esso Petroleum Company, Limited

The expected return on scheme assets is determined by considering the expected returns on the assets underlying the current investment policy. Expected yields on fixed income investments are based on gross redemption yields as at the balance sheet date. Expected returns on equity investments reflect long-term real rates of return experienced in the respective markets.

The actual return on scheme assets in the year was £106M (2010 - £324M)

The cumulative amount of actuarial gains and losses recognised in the Statement of Total Recognised Gains and Losses was £1,770M (2010 - £1,488M)

The major categories of scheme assets as a percentage of total scheme assets are as follows

	2011	2010
Equities	43.96 %	54.64 %
Bonds - Government	36.23 %	25.22 %
Bonds - Corporate	13.69 %	14.25 %
Property	5.87 %	5.90 %
Cash and other	0.25 %	(0.05)%

The equity investments and bonds held in scheme assets are quoted and valued at the current bid price following the adoption of the amendment to FRS17

ESSO PETROLEUM COMPANY, LIMITED

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25. PENSION COMMITMENTS (continued)

Principal actuarial assumptions at the Balance Sheet date (expressed as weighted averages)

	2011	2010
Discount rate at 31 December	4.90 %	5.50 %
Future salary increases	4.00 %	4.50 %
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	2.10 %	2.50 %
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97 to March 06)	3.00 %	3.50 %
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 06)	2.50 %	2.50 %
Price Inflation (RPI)	3.00 %	3.50 %
Price Inflation (CPI)	2.00 %	2.80 %

Expected rates of return on scheme assets

Equities	7.1%	7.6%
Bonds - Government	3.0%	4.2%
Bonds - Corporate	4.9%	5.5%
Property	6.4%	7.3%
Cash & Other	0.0%	0.0%

Mortality assumptions

Longevity at age 60 for current pensioners		
- Male	27.4	26.7
- Female	29.2	29.2
Longevity at age 60 for future pensioners		
- Male	28.4	27.7
- Female	30.9	30.2

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS
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25. PENSION COMMITMENTS (continued)

Amounts for the current and previous four periods are as follows

Defined benefit pension schemes

	2011 £M	2010 £M	2009 £M	2008 £M	2007 £M
Defined benefit obligation	(3,593)	(3,311)	(3,203)	(2,468)	(2,831)
Scheme assets	3,021	2,851	2,488	2,159	2,757
Deficit	(572)	(460)	(715)	(309)	(74)
Experience adjustments on scheme liabilities	(68)	45	32	22	(26)
Experience adjustments on scheme assets	(75)	151	206	(729)	(36)

The actuarial valuation of the plan as 31 December 2011 showed an increase in the deficit before tax from £460M to £572M. This is primarily due to weaker than expected performance of assets for the period despite additional contributions along with larger than expected changes to assumptions. Normal employer contributions were set at 30.1% of pensionable salaries with effect from 1 January 2011, following the 31 December 2010 actuarial valuation, this contribution level is subject to future actuarial review. The total contributions expected to be made by Esso Petroleum Company, Limited in the year 2012 are therefore £88M.

ESSO PETROLEUM COMPANY, LIMITED

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25. PENSION COMMITMENTS (continued)

Merchant Navy Officers Pension Fund

The Company is a participating employer in the Merchant Navy Officers Pension Fund. Company contributions to this fund amounted to £2M (2010 - £10M) during the year. In 2011 and 2010 this consisted entirely of deficit contributions.

The last valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2009.

The schedules provided by the fund's trustees to the Company detail only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

The latest actuarial valuation as at 31 March 2009 showed an aggregate fund deficit of £740M (2006 - £151M). Additional contributions as a result of this valuation were requested with effect from September 2010.

Merchant Navy Ratings Pension Fund

The Company is also a participating employer in the Merchant Navy Ratings Pension Fund. Company contributions amounted to £2M (2010 - £1M) during the year consisting entirely of a deficit contribution.

The last valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2011.

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan.

26. OPERATING LEASE COMMITMENTS

At 31 December 2011 the Company had annual commitments under non-cancellable operating leases as follows:

	2011 £M	2010 £M
Expiry date:		
Between 2 and 5 years	1	1
After more than 5 years	3	6
	<u> </u>	<u> </u>

All the above relate to land and buildings.

ESSO PETROLEUM COMPANY, LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2011

27. RELATED PARTY TRANSACTIONS

The Company is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3(c) of FRS 8 'Related party disclosures' not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 29.

At 31 December 2011 the advance rental payment made to landlords on behalf of directors were B Corson £1,328 (2010 - £1,073). The advance rental payments are part of the employee relocation scheme. The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director.

28. POST BALANCE SHEET EVENTS

On 1 July 2012, the company sold its entire shareholding in Comma Oil & Chemicals Limited for £60m to Cosan Lubes Investments Limited.

29. ULTIMATE PARENT UNDERTAKING AND CONTROLLING PARTY

The immediate parent company is ExxonMobil UK Limited. The ultimate parent company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group financial statements are prepared is Esso UK Limited. Financial statements can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group financial statements are prepared is Exxon Mobil Corporation. Financial statements can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.